

Table 12.1 Allocation Schedule	
Investment Value	Allocation
Dollar Value < \$167M	All Dollars in Equities
\$167M ≤ Dollar Value ≤ \$500M	\$167M in Stock, (Dollar Value—\$167M) in ETF
Dollars > \$500M	\$167M in Stock, \$333M in ETF, (Dollar—\$500) in Futures

portfolio manager can only invest in a single asset. Managers, however, can incur lower trading costs if they allocate investment dollars across all three alternative options (Figure 12.7b). For example, equities are the lowest trading cost up to \$167 million dollars. For investment values between \$167 million and \$500 million managers would be \$167 million in equities and the remainder in ETFs up to \$500 million. And after \$500 million, the allocation should be \$167 million in equities, \$333 million in ETFs, and the remainder in futures. Now the manager could achieve the same exposure but a lower trading cost.

Figure 12.7c shows the minimum cost allocation scheme compared to the all-or-none examples in Figure 12.7a. Notice that for values up to \$167 million the costs are the same but at higher dollar values the manager is best served via an allocation schedule as shown in Figure 12.7b (Table 12.1).

MULTI-ASSET TRADING COSTS

In this section we examine multi-asset trading costs². We utilize the I-Star impact model, developed in earlier chapters, to investigate differences in cost structures across the asset classes, as well as to estimate the underlying transaction costs for various order sizes. Our analysis across asset classes found that the I-Star model performed well across both global equity markets and across the different asset classes, hence, it is an important decision-making tool for portfolio managers to evaluate asset allocation, portfolio construction, and best execution trading strategies.

²Scott Wilson, Ph.D. provided much of the early direction and insight in applying the I-Star impact model to estimate trading costs across various asset classes. He performed this leading research while an intern at a large pension plan and while completing his Ph.D. in Economics. He is currently working for Cornerstone Research.